SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 6

Honorable Rafael Sivilla-Jones, Presiding

191 North First Street, San Jose, CA 95113

Telephone: (408) 882-2160

May 28, 2026

9:00 and 9:01 A.M.

RECORDING COURT PROCEEDINGS IS PROHIBITED

ORAL ARGUMENT

Before 4:00 PM today you must notify the:

(1) Court by calling (408) 808-6856 and

(2) Other side by phone or email that you will appear at the hearing to contest the tentative

If you fail to so notify the court or opposing side, the Court will not hear argument, and the tentative ruling will be adopted. (California Rule of Court 3.1308(a)(1) and Local Rule 8.E.)

REMOTE APPEARANCES

Phone only appearances are PROHIBITED. In-person appearances are preferred.

For necessary virtual appearances, you **must use video** and follow **Civil Local Rule 5**.

To access the courtroom, click or copy and paste this link into your internet browser and scroll to

Department 6: https://santaclara.courts.ca.gov/online-services/remote-hearings

LINE	CASE NO.	CASE TITLE	TENTATIVE RULING
9:00 1	25CV424190	AI Technology Systems vs. Renesas Electronics America	Defendant petitions this court to compel plaintiff to produce documents set six. Court finds that Defendant's request for Production No. 83, 84, 85, 86 is overbroad. Court finds that Defendant's request for Production No. 87 (every document supporting allegation that defendant provided Cyberon with confidential information belonging to AITS) is relevant—however, Plaintiff has answered that there are no such documents in its possession. Similarly, Defendant's request for Production No. 88 (every document that supports allegation that Defendant downloaded AITS underlying codes) is relevant—however, Plaintiff has answered that there are no such documents in its possession. Defendant's petition to compel Plaintiff to Produce Documents from Set Six is DENIED.
9:00 2	24CV444671	XH Industrial v Capital Asset Exchange	?
9:00 3	24CV450596	Daniel Skelton, et.al. v. FCA US LLC, et.al	See below
9:00 4	24CV453728	Anthony Flaminiano v. Mercedes Benz, et.al.	Plaintiff moves this court to compel Defendant Mercedes Benz to comply with Court's previous Discovery Order and requests monetary sanctions. On October 9, 2025, this Court ordered Defendant to produce its Person Most Qualified for a deposition within 20 calendar days of the court's order. Defendant failed to provide a date to comply with the court's order until March 16, 2026. Plaintiff's motion to comply with Court's previous Order within 5 calendar days of this order is GRANTED. Court also orders Defendant Mercedes-Benz to pay $2,635.00 within 5 days of the hearing of this motion.
9:00 5	25CV461473	Wells Fargo Bank vs. Edwin Punzalan	Off calendar
9:00 6	25CV463219	Thi Thuy Dung Cao vs. The City of San Jose	Plaintiff moves this court for leave to amend complaint. Defendant has no objection. Plaintiff's motion is GRANTED. Plaintiff is ordered to amend the complaint within 10 days.

Calendar Line 2

Case Name: *XH Industrial Co., LTD v. Capital Asset Exchange and Trading, LLC*

Case No.: 24CV444671

Defendant Capital Asset Exchange and Trading, LLC ("Capital Asset") has brought a motion for judgment on the pleadings ("JOP motion") as to the first, second, third, fourth, fifth, and seventh causes of action alleged in the complaint filed by Plaintiff XH Industrial Co., LTD ("XH"). A JOP motion "is equivalent to a belated general demurrer." (*Sprague v. County of San Diego* (2003) 106 Cal.App.4th 119, 127.) It has the same function as a general demurrer, but it is made after the time for demurrer has expired.

The court GRANTS Capital Asset's JOP motion as to the complaint's fourth and seventh causes of action with 20 days' leave to amend. "[A]n action based on an implied-in-fact or quasi-contract cannot lie where there exists between the parties a valid express contract covering the same subject matter. However, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. Thus, a party to an express contract can assert a claim for restitution based on unjust enrichment by alleg[ing in that cause of action] that the express contract is void or was rescinded." (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 231, internal citations and quotation marks omitted.) "A claim for restitution is permitted even if the party inconsistently pleads a breach of contract claim that alleges the existence of an enforceable agreement." (*Ibid*., internal citation omitted; see also *Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1388-1389 (*Klein*) ["A plaintiff may not, however, pursue or recover on a quasi-contract claim if the parties have an enforceable agreement regarding a particular subject matter. . . . Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, plaintiffs' breach of contract claim pleaded the existence of an enforceable agreement and their unjust enrichment claim did not deny the existence or enforceability of that agreement."].) Here, the complaint's fourth and seventh causes of action are "quasi-contract" in nature. Similar to *Klein*, the complaint alleges the existence of an enforceable contract. (Complaint, ¶¶ 52-57.) However, the complaint's fourth and seventh causes of action do not "deny the existence or enforceability of that agreement." (*Klein, supra,* 202 Cal.App.4th at p. 1389.) XH has not asserted any reason that the alleged agreement is unenforceable. As in *Klein*, XH's complaint does "not provide any explanation as to why the . . . agreement referenced in [its] breach of contract claim might be unenforceable or otherwise not qualify as a contract." (*Ibid*.)

The court GRANTS Capital Asset's JOP motion as to the complaint's first, second, and third causes of action with 20 days' leave to amend. First, the court notes that it does not find Capital Asset's economic loss rule arguments persuasive as to the first, second, and third causes of action. California permits recovery of tort damages in certain types of contract cases where the duty giving rise to tort liability "is either completely independent of the contract or arises from conduct which is both intentional and intended to harm," such as where the contract was fraudulently induced—the complaint's first, second, and third causes of action are premised upon a theory of fraudulent inducement. (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 552 (*Erlich*), internal citation omitted; see also Complaint, ¶¶ 16-41; *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 833 (*Dhital*) ["We conclude that, under California law, the economic loss rule does not bar plaintiffs' fraudulent inducement claim."].) On reply, Capital Asset discusses *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 (*Rattagan*). (Reply, pp. 5:5-7:16.) The plaintiff in *Rattagan* alleged tort claims based on conduct "committed *during* the contractual relationship" rather than conduct that allegedly induced a party to enter into the contract. (*Rattagan, supra,* 17 Cal.5th at pp. 40-41, fn. 12, emphasis original.) The Supreme Court was careful to distinguish *Dhital* on these grounds. (*Ibid.*; see also *id.* at p. 13 ["Under California law, may a plaintiff assert a tort claim for fraudulent concealment *arising from or related to the performance of a contract*? . . ."], emphasis added.)

Second, the court finds that the complaint has sufficiently alleged "intent" and "knowledge." (See Memorandum of Points and Authorities in Support of JOP Motion, pp. 12:18-13:17; see also Complaint, ¶¶ 20, 29, 38; *Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1060-1062 (*Beckwith*).) Capital Asset is correct that each element in a fraud cause of action must be pled with specificity. (See *Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 518-519 [outlining the elements of a fraud cause of action and noting they must be "specifically alleged"]; *SI 59 LLC v. Variel Warner Ventures, LLC* (2018) 29 Cal.App.5th 146, 154 [outlining the elements of a negligent misrepresentation cause of action].) Nevertheless, fraudulent "intent is an issue for the trier of fact to decide. [Citation.]" (*Beckwith, supra,* 205 Cal.App.4th at p. 1061.) Moreover, "fraudulent intent has been inferred from such circumstances as [a] defendant's insolvency, his hasty repudiation of the promise, his failure even to attempt performance, or his continued assurances after it was clear he would not perform. [Citation.]" (*Tenzer v. Superscope, Inc.* (1985) 39 Cal.3d 18, 30.) The complaint alleges circumstances suggesting fraudulent intent and knowledge. Specifically, the complaint alleges that Capital Asset allegedly never made the machine that XH ordered available for pickup, XH repeatedly "followed up" with Capital Asset but was given "the runaround," Capital Asset "continued to impress upon Plaintiff that the machine [would] be made ready for Plaintiff," and Capital Asset ignored XH's requests for a refund. (Complaint, ¶¶ 10-15.)

Finally, the complaint alleges that in or about October 2023, Grace Shen ("Shen") from Capital Asset represented "via email and telephone call" to XH that Capital Asset had a 1996 vintage laser machine for sale for $70,000 and that Capital Asset could and would make the machine available for pick-up within 45 calendar days upon receipt of payment. (Complaint, ¶ 17.) These allegations state what was said, who said it, how they said it, and when they said it. (See *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645 (*Lazar*); *Beckwith, supra,* 205 Cal.App.4th at pp. 1060-1061.) However, these allegations do not specify Shen's "authority to speak" on behalf of Capital Asset. (*Lazar, supra,* 12 Cal.4th at p. 645.) Nor does the complaint appear to allege who Shen specifically made any representations to. (*Ibid.*) Therefore, the court grants Capital Asset's JOP motion as to the first, second and third causes of action alleged in the complaint.

The court GRANTS Capital Asset's JOP motion as to the complaint's fifth cause of action with 20 days' leave to amend. Unlike the first, second, and third causes of action, the court finds that the economic loss rule *does* bar the complaint's fifth cause of action, as currently alleged. (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988 ["The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise. [Citation.]"].) Again, the first, second, and third causes of action are premised upon a theory of fraudulent inducement. (See *Erlich, supra,* 21 Cal.4th at p. 552; *Dhital, supra,* 84 Cal.App.5th at p. 833; Complaint, ¶¶ 16-41.) The complaint's fifth cause of action, however, is not, instead alleging that "Defendants [sic] improperly, fraudulently and without proper authorization, wrongfully misappropriated Plaintiff's money for their own personal benefit without any legal justifiable reasons," and then seeks $70,000 in damages, the same amount XH allegedly paid Capital Asset under the terms of a written contract. (Complaint, ¶¶ 49-50, 52-57.) For similar reasons, the court agrees with Capital Asset that the allegations underlying the complaint's fifth cause of action are insufficient. "Money can be the subject of an action for conversion if a specific sum is capable of identification is involved. Neither legal title nor absolute ownership of the property is necessary. A party need only allege it is entitled to immediate possession at the time of conversion. However, a mere contractual right of payment, without more, will not suffice." (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 452 (*Farmers*), internal citations, emphasis, and quotation marks omitted omitted.) The complaint alleges that XH has a "clear legal ownership and right to possession of its $70,000.00 but for the illicit actions undertaken by Defendants. . . . Defendants improperly, fraudulently and without proper authorization, wrongfully misappropriated Plaintiff's money for their own personal benefit without any legal justifiable reasons . . ." (Complaint, ¶¶ 48-49.) Given that the complaint alleges a cause of action for breach of contract on the basis that XH and Capital Asset entered into a written contract in which Capital Asset agreed to sell XH a 1996 "laser machine" for $70,000, the court struggles to see how the complaint's conversion allegations do not involve a "mere contractual right of payment." (*Farmers, supra,* 53 Cal.App.4th at p. 452; Complaint, ¶¶ 52-57.)

Line 3

Calendar Line 3

Case Name: *Daniel Skelton et al. v. FCA US, LLC et al.*
Case No.: 24CV450596

Defendant FCA US LLC ("FCA") has brought a motion for judgment on the pleadings ("JOP motion") as to the sixth cause of action alleged in the complaint filed by Daniel Skelton and Debbie Martinez (together, "Plaintiffs"). A JOP motion "is equivalent to a belated general demurrer." (*Sprague v. County of San Diego* (2003) 106 Cal.App.4th 119, 127.) It has the same function as a general demurrer, but it is made after the time for demurrer has expired.

The court GRANTS FCA's JOP motion as to the complaint's sixth cause of action with 20 days' leave to amend. Causes of action based on fraud are subject to a three-year statute of limitations. (See Code Civ. Pro., § 338, subd. (d).) The cause of action "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (*Ibid.*) The complaint alleges that Plaintiffs entered into a warranty contract with FCA in August 2016 but did not discover FCA's wrongful conduct until "shortly before the filing of the complaint." (Complaint, ¶¶ 7, 38.) The complaint further alleges that FCA committed fraud by allowing a

2017 Chrysler Pacifica (the "Subject Vehicle") to be sold to Plaintiffs without disclosing that the Subject Vehicle and its transmission were defective. (*Id.* at ¶ 65.) A plaintiff "must affirmatively excuse his [or her] failure to discover the fraud within three years after it took place, by establishing facts showing that he [or she] was not negligent in failing to make the discovery sooner and that he [or she] had no actual or presumptive knowledge of facts sufficient to put him [or her] on inquiry." (*Krolikowski v. San Diego City Employees' Retirement System* (2018) 24 Cal.App.5th 537, 561-562, internal citation and quotation marks omitted.) The complaint does not plead facts sufficient to "affirmatively excuse" Plaintiffs' failure to discover the alleged fraud within three years. Specifically, the complaint does not explain when and how Plaintiffs discovered FCA's allegedly wrongful conduct—the generic allegation that Plaintiffs did so "shortly before" filing the complaint is insufficient to explain either the time and manner of discovery or an inability to have made earlier discovery. (Complaint, ¶ 38; see *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808.)

Nor, for that matter, does the complaint allege facts sufficient to invoke any of the other tolling doctrines that it references. (Complaint, ¶¶ 37-39.) As to the "repair doctrine," the complaint is devoid of allegations that Plaintiffs notified the manufacturer or seller of their failure to fix any issues within 60 days of completion of repairs or services. (See Civ. Code, 1795.6, subd. (b).) As to the "class action tolling" doctrine, the complaint identifies no class action that could potentially toll any applicable statute of limitations—in opposition to FCA's motion, Plaintiffs identify a class action case but, importantly, the complaint does not name this case. (See *Am. Pipe & Const. Co. v. Utah* (1974) 414 U.S. 538, 554.) As to the doctrines of equitable tolling, fraudulent concealment, and equitable estoppel, when a plaintiff relies on any of these theories "to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory." (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641, internal citations omitted.) In order for "fraudulent concealment" to toll any applicable statute of limitations for a cause of action, a plaintiff must allege "when the fraud was discovered . . . the circumstances under which it was discovered . . . that the plaintiff was not at fault for failing to discover it or had no actual or presumptive knowledge of facts sufficient to put him on inquiry"—for reasons the court has already discussed, Plaintiffs have not done so here. (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900, internal citation omitted.) Nor does the complaint plead facts sufficient to support equitable tolling. (See *State Comp. Ins. Fund v. Dept of Ins.* (2023) 96 Cal.App.5th 227, 240 [equitable tolling applies when three elements are present: (1) timely notice; (2) lack of prejudice to the defendant; and (3) reasonable and good faith conduct on the part of plaintiff].)

For the parties' future reference, the court notes that it is not persuaded by FCA's arguments that the economic loss rule bars the complaint's sixth cause of action or that the complaint fails to plead facts sufficient to support its sixth cause of action. As to FCA's argument regarding the sufficiency of the allegations supporting the complaint's sixth cause of action, the complaint alleges that Plaintiffs entered into a warranty contract with FCA, FCA advertised to Plaintiffs regarding the Subject Vehicle, Plaintiffs interacted with FCA's sales representatives, the Subject Vehicle exhibited defects, FCA knew of these defects and failed to disclose them, FCA intended to defraud Plaintiffs, and Plaintiffs would not have purchased the Subject Vehicle had they known of these defects. (Complaint, ¶¶ 7-27, 64-72.) These allegations are sufficient. (See *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 (*Dhital*).) Although the Supreme Court initially granted review in *Dhital*, it subsequently dismissed review, which means *Dhital* is precedential authority. (Cal Rules of Court, rule 8.1115(e)(2).) The court is also not convinced by GM's economic loss rule argument. (See *Dhital, supra,* 84 Cal.App.5th at pp. 833, 837-841 ["We conclude that, under California law, the economic loss rule does not bar plaintiffs' fraudulent inducement claim. . . . Here, the fraudulent inducement exception to the economic loss rule applies. Plaintiffs allege that Nissan, by intentionally concealing facts about the defective transmission, fraudulently induced them to purchase a car. Fraudulent inducement is a viable tort claim under California law. . . . What follows from its analysis, however, is that concealment-based claims for fraudulent inducement are not barred by the economic loss rule."].) Plaintiffs correctly point out that *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 (*Rattagan*) distinguished "fraud-in-the-performance" from "fraud-in-the-inducement," and here the complaint's sixth cause of action alleges fraudulent inducement. (*Rattagan, supra,* 17 Cal.5th at p. 41, fn. 12 ["Rattagan's tort claims are, of course, based on alleged conduct committed *during* the contractual relationship but purportedly outside the parties' chosen rights and obligations. . . ."], emphasis original.)